



English, Economics, Politics, and Philosophy

Unit 1 Evolution of Economics Lesson 1.4: Should We Trade? (Part 2)

Intro:

In the first part of this lesson, we explored the history of Mercantilism—particularly the idea protectionism—and three types of protectionist barriers: **tariff, embargo, and quota**. In this part of the lesson, we will delve into the “counter-perspectives” of such policy, i.e., free trade and David Ricardo’s comparative advantage.

Now, do you think nations **interdepend** on each other? Why is that?

Nations maybe depend on each other:

If a country has a problem that can be solved by other country and can in exchange offer some benefits then it will be a beneficial scenario; but, if a country has no advantage, to say they cannot help the other country in solving anything, then they will probably both be poor.

ACTION

I. David Ricardo – comparative advantage optimistic economist



David Ricardo (1772 – 1823), born in London as the third surviving child of a successful **stockbroker** and his wife, came from a Sephardic **Jewish** family of Portuguese origin.

During Ricardo's time, **grain trade** in the UK **foods/potatoes/corn** was interfered by the government through the regulation named the **Corn Laws**. Ricardo opposed this policy based on his reasonings (*in On the Principles of Political Economy and Taxation*):

1. Factors of production include land, labour, capital
2. As each **factor is scarce**, natural inequality of the cost of production exist amongst nations
3. When each country specializes based on their natural advantage, **maximized welfare** for the vast majority is granted – this is due to the adoption of **comparative advantage!!**

II. Free Trade

Free trade describes a situation where countries **buy and sell trade goods and services** to each other **without any restrictions (barrier) like taxes, quotas, or rules** that make it hard to trade. It's **free** like when you can freely buy or sell things with anyone you want without any extra fees or rules. This makes it easier and cheaper for countries to get what they need from each other.

Free Trade Pros and Cons

Pros

- Allows consumers to access the cheapest goods on the world market.
- Allows countries with relatively cheap labor or resources to benefit from foreign exports.
- Under Ricardo's theory, countries can produce more goods collectively by trading on their respective advantages.

Cons

- Competition with foreign exports may cause local unemployment and business failures.
- Industries may relocate to jurisdictions with lax regulations, causing environmental damage or abusive labor practices.
- Countries may become reliant on the global market for key goods, leaving them at a strategic disadvantage in times of crisis.

Question: After the lesson, we have learned both the cons and pros of these two nations, which side do you favour (protectionist vs free trade)? What is your reason?